

Q&A: Why Does China Move Its Labor-Intensive Enterprises to Vietnam and India, Rather Than Shifting Low-End Industrial Chains to Pakistan?

Zhihu column · 2026-02-22

China's investment in Pakistan is at present concentrated mainly in infrastructure such as transport and energy. Manufacturing investment is relatively small, focused on the textile industry, in which Pakistan already has some foundation.

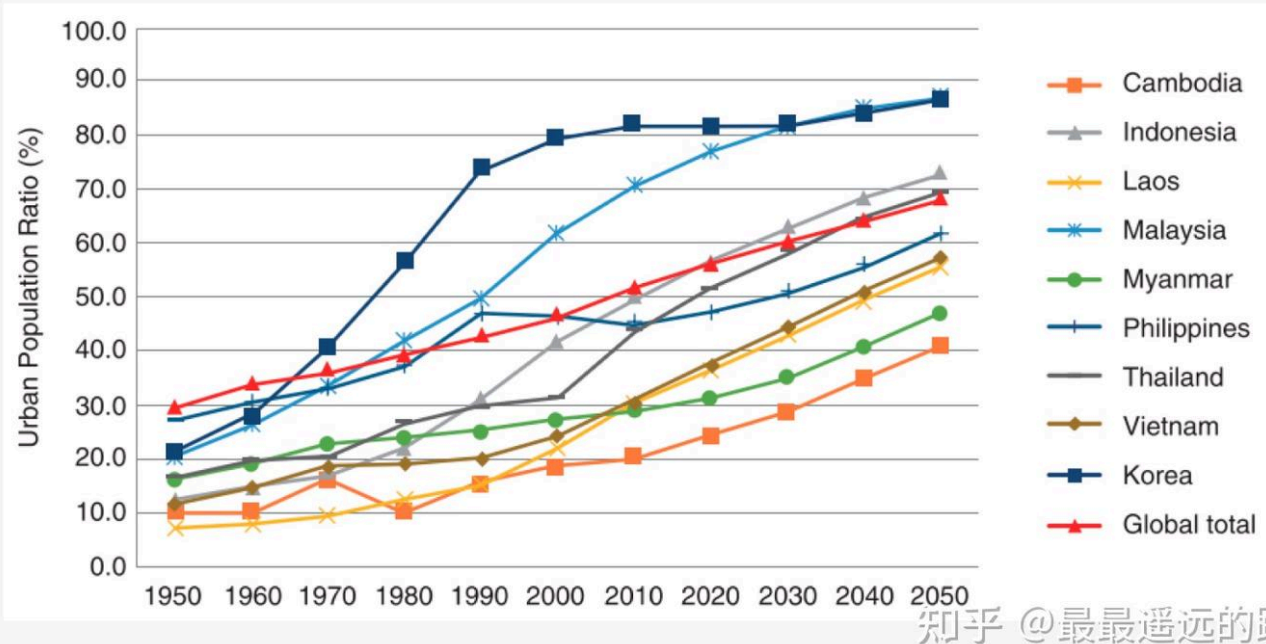
Chinese manufacturing firms invest in Vietnam for reasons of cost; Chinese industry began turning toward Vietnam, Indonesia, Cambodia, and other Southeast Asian countries close to China long ago, and under the trade war this shift has only accelerated. Chinese manufacturers invest in India because India's industrial policy, plus its exceptionally large market, forces foreign enterprises to set up plants locally. At the same time, the migration of the middle- and low-end links of multinational production chains to India (Apple, for example) is accelerating the shift as well.

Pakistan lies geographically farther from the manufacturing heartland (East Asia plus Southeast Asia) — at least a bit farther than India. India's infrastructure, labor quality (education levels), surplus labor pool, domestic supply-chain development, and market size all far exceed Pakistan's. Multinational corporations are therefore unlikely to relocate to Pakistan on a large scale — just as, after the 1990s, transnational capital moved to China in huge numbers because conditions there were better on every score and its population larger, yet did not move to India en masse.

Of course, given the geopolitical contradictions between China and India, when Southeast Asia's surplus labor is exhausted and a large-scale relocation of mid- and low-end industry becomes necessary, Chinese enterprises (under government guidance) will very likely adopt an "India + 1" strategy — making some manufacturing investments in other countries as well, to back up the supply chain. Considering population, distance, political relations, and other factors, Pakistan is the best choice.

By 2040, Vietnam's urbanization rate will exceed 50 percent (China's level in 2011), Indonesia's will reach 65 percent (China's level in 2022), and the Philippines' will reach 55 percent (roughly the 2015 level). The specific trends are shown in the figure below ^[1].

Figure 3. Urbanization Trends and Prospects of ASEAN Countries (1950–2050).



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So in the 2040s, Southeast Asia's mid- and low-end industries will begin to migrate outward on a large scale. India and Bangladesh will be the most logical destinations. Since Chinese-invested firms account for a large share of Southeast Asian enterprises, if Pakistan can finish its transport infrastructure, build out its energy infrastructure, and raise the quality of its labor force before 2040, it is entirely possible to attract Chinese firms.

The key question, then, is: how far has Pakistan's infrastructure and basic industry actually come? Can it catch the dividend of the next wave of industrial relocation? Let us analyze in detail.

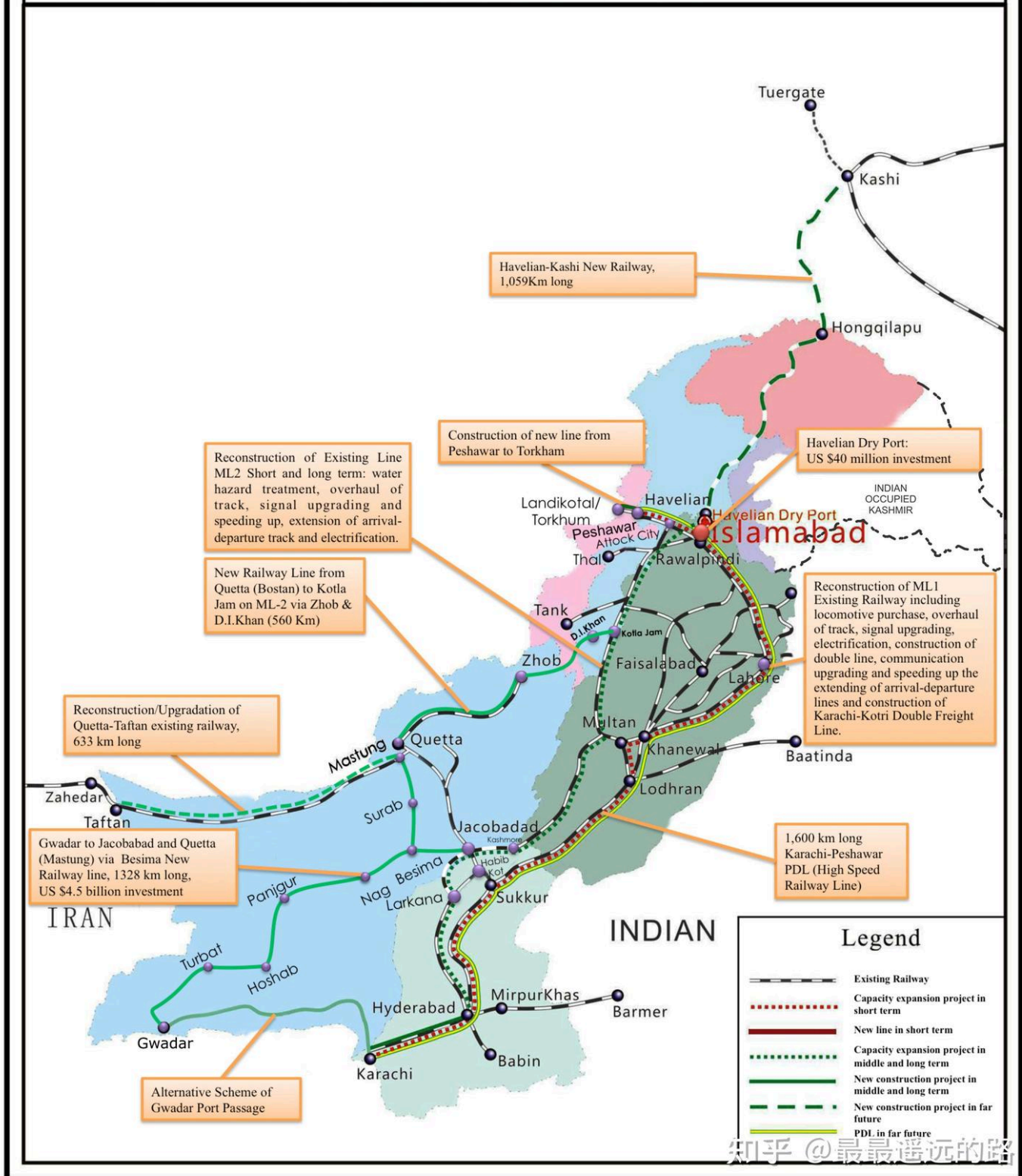
Transport Infrastructure

Railways

Pakistan's railways are old relics left by the British, dilapidated and unfit for use. Pakistan is now trying to upgrade its railways nationwide and lay some new lines, comprehensively raising the level of its rail infrastructure.

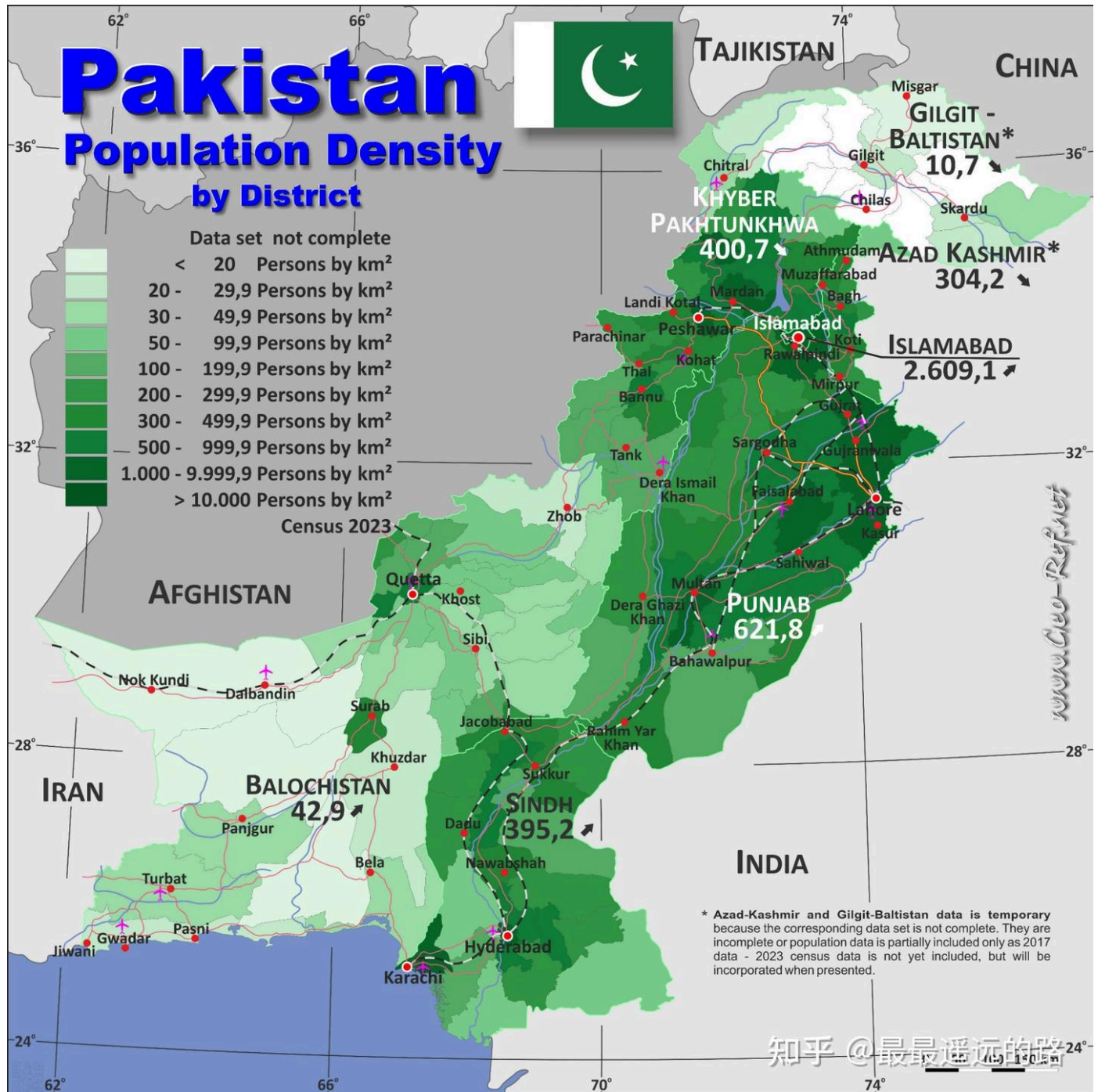
Within the overall framework of the China–Pakistan Economic Corridor, Pakistan has planned a large batch of railway projects, as shown below [\[2\]](#).

Railways Network of CPEC



Pakistan's current rail network consists chiefly of three north–south trunk lines, named ML-1, ML-2, and ML-3 — Main Lines 1, 2, and 3. In the figure above, the three lines can be seen running west to

east. Since Pakistan's population is concentrated in Sindh and Punjab (as the population-density map below shows — the greener, the denser [3]), and especially along the ML-1 corridor, the ML lines form Pakistan's rail arteries: ML-1 alone carries 90 percent of national rail freight and 80 percent of passenger traffic [4].



The ML-1 upgrade has thus become the key to reviving Pakistani rail transport. Once completed, ML-1's freight share will rise from 4–5 percent of national rail freight to about 20 percent [5]. The line runs 1,733 kilometers; the upgrade chiefly means completing double-tracking and raising train speeds to 160 km/h. Financing had long been stalled; last year the Japanese-led Asian Development

Bank provided loans which, together with Chinese financing, solved the money problem. Construction of the ML-1 upgrade is expected to begin in mid-2026 ^[6].

According to Pakistani Railways Minister Hanif Abbasi, the Asian Development Bank (ADB) has approved a \$2 billion loan to Pakistan for the Karachi–Rohri railway project. The line is about 480 kilometers long, an important section of Pakistan's ML-1; once built, it is expected to cut travel time between the two cities by at least five hours. The entry of third-party financing such as the ADB provides strong support for the project's realization and for the development of CPEC 2.0. ^[7]

The project is expected to be fully completed before 2030; since it is being carried out by Chinese enterprises, so long as the funds are in place, the schedule should not be a problem. Upon completion, travel time from Karachi to Lahore will fall from about 22 hours to around 8 hours.

With ML-1 settled, Pakistan will throw its full effort into ML-2 and ML-3; both lines are still in the pre-feasibility and financing stages ^[8] ^[9]. They will most likely be upgraded and finished in the early 2030s, and in any case no later than 2040.

In addition, Pakistan is pushing hard on the railway linking Gwadar Port, a project of major Chinese investment; financing for these lines may come somewhat more readily from the Chinese side.

Recently, Pakistan's Senate standing committee was told that the feasibility study for the Gwadar railway project, conducted by an international consultancy, has been completed and the plan will now go for final approval — a key step toward substantive progress on this key infrastructure project. The international consultancy has not yet been named. The Senate and the railway authorities discussed in depth how to link Gwadar with the national rail network and with Quetta, including the Gwadar–Nok Kundi main express link of about 680 kilometers, and Main Line 4 (ML-4) to bring Gwadar fully into the national railway system; the meeting also reported the latest progress on the Basima–Jacobabad line, whose feasibility study is complete, with an estimated cost of \$4.7 billion ^[10].



New Rail Link from Gwadar-Besima-Quetta/Jacobabad-Kotla Jam Main Line 4 (ML-4)



Section	Length (kms)	Cost (Million, PKR)
Mustung-Quetta Rail	901	879,607
Besima-Jacobabad	387	742,946
Gwadar Port – Gwadar Station	12	86,240
Quetta – KotlaJam	493	594,300

Status Update

- Feasibility study conducted in 2019

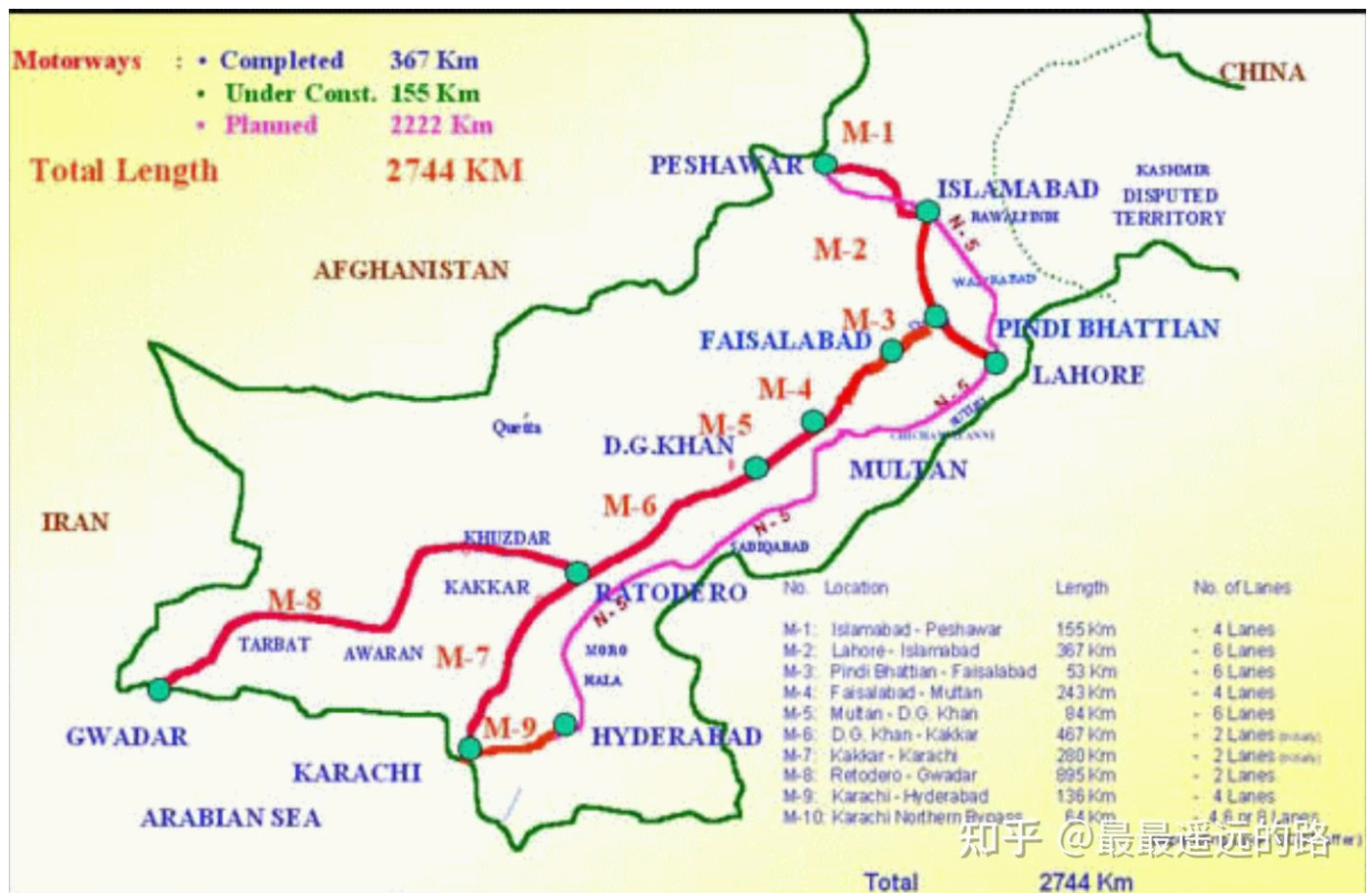


Source: https://www.unescap.org/sites/default/d8files/event-documents/Apr30-12_Pakistan.pdf

ML-4 runs chiefly through Balochistan, and will do a great deal to promote the economic development of this backward province.

Expressways

Pakistan's expressway construction is also under way. Like the railways, the expressways are concentrated in the economically most developed, most densely populated provinces of Sindh and Punjab. The motorway from Peshawar through Islamabad and Lahore to Karachi (M1–M7), six lanes both ways, 1,100 kilometers long, has six sections completed; the remaining section (M6) is under construction.



Source: https://pakistanpaedia.com/mega/highways_motorways_of_pakistan.html

In addition, the M8 expressway connects Gwadar, also running through Balochistan, nearly 900 kilometers, four lanes both ways; over 100 kilometers are open and the remaining 700 are under construction.

The video below was filmed by a Pakistani uploader (not in English — a rough look will do), and shows that Pakistan's expressways are quite well built. Since the CPEC is the flagship project of the Belt and Road Initiative, China has invested heavily in Pakistan's infrastructure, helping Pakistan complete its expressway network ahead of schedule. At the latest by 2040, medium and large cities across Pakistan will be connected to the expressway network, and ring roads around the main cities will also be finished.

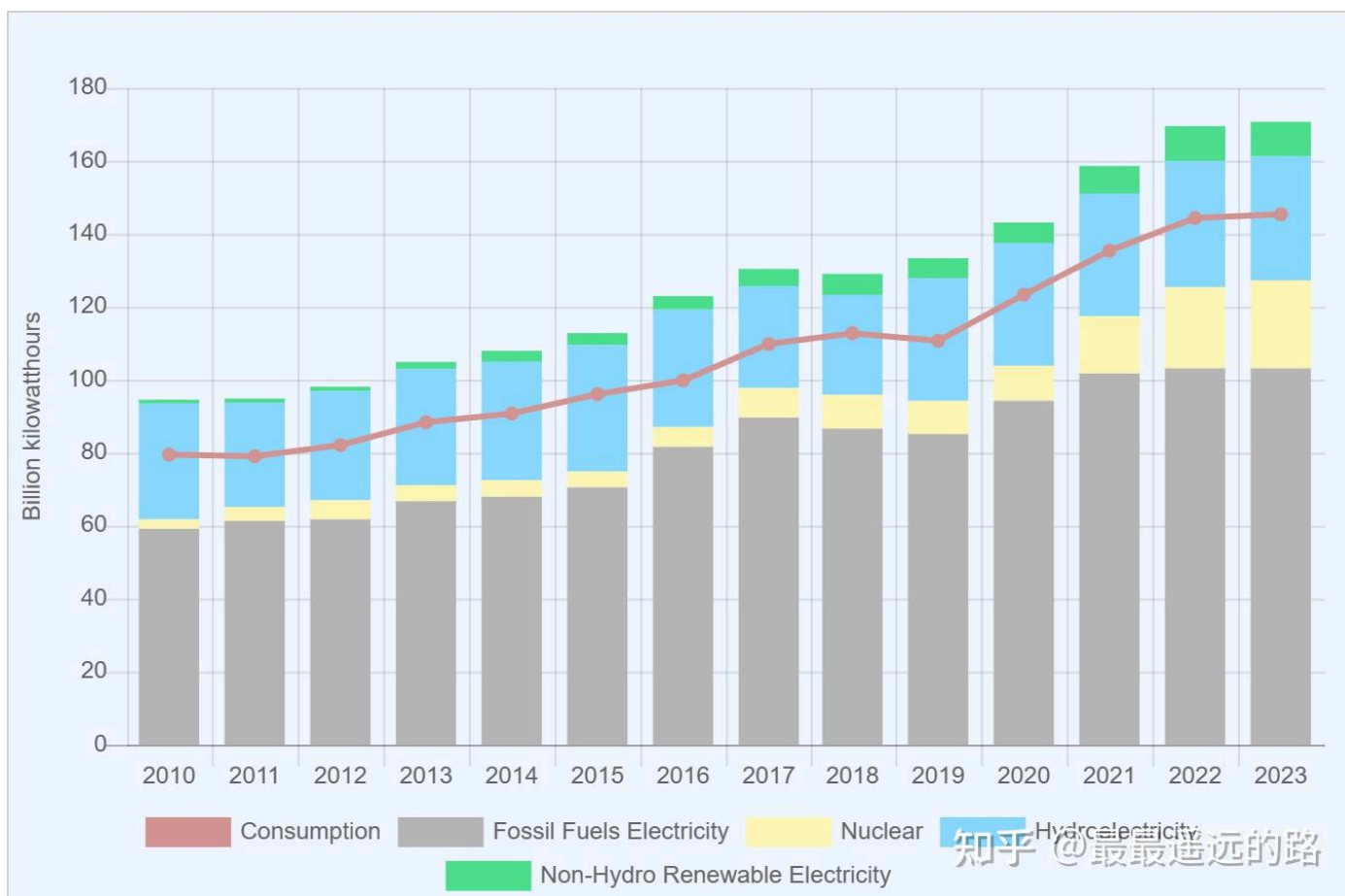


Energy Infrastructure

Electricity

Electric power is a key project of the CPEC, so Pakistan's power generation is rising fast.

Over the past decade, Pakistan's total electricity generation has grown by about 80 percent. By 2023, about 60 percent of electricity came from thermal plants, 20 percent from hydropower, and 14 percent from nuclear. Renewables also contributed, reaching nearly 6 percent of generation by 2023. By contrast, renewable generation in 2010 was about ten times less. ^[11]



In 2024, Pakistan's per-capita generation was about 700 kWh (China's level in 1994). Installed capacity in 2024 was about 46 GW; from 2025 to 2040 it will grow by about 80 percent more (following the trend of the last decade, with the conservative assumption of stretching it to fifteen years). Taking into account that Pakistan's population may grow by about 20 percent over the next decade, per-capita annual generation will rise by about 50 percent, to around 1,050 kWh — equivalent to China's level in 2000.

Oil Refining

Pakistan's refineries currently have a daily capacity of 450,000 barrels ^[12], with total annual throughput of 22 million tonnes. Per capita, Pakistan's refining capacity is close to China's level in the early 1990s. Recently Pakistan's cooperation with Saudi Arabia has deepened; Saudi Arabia's petrochemical industry is highly developed and may well make large-scale investments in Pakistan. Media have already reported a planned \$10 billion joint venture between Pakistan and Saudi Aramco to build a large refinery with a daily capacity of 300,000 barrels ^[13]. By the early 2030s Pakistan's refining capacity is expected to reach China's 1995 level, and by 2040, China's 2000 level.

Basic Industry

To take over the mid- and low-end manufacturing of the global production chain, Pakistan must raise its domestic basic-industrial capacity; otherwise foreign factories would have to import everything, contributing little to the accumulation of domestic capital.

Steel

Pakistan's current annual steel output (2024) is only 4.1 million tonnes ^[14] — lower than Bangladesh's, equivalent to China's level in the mid-1970s. Pakistan needs to raise annual output to 10–15 million tonnes, reaching China's level of the early 1990s.

Two big projects currently dominate steel investment in Pakistan.

The first is Yaxing Steel, with initial annual capacity of 500,000 tonnes, rising to 2 million tonnes in the long term.

On the morning of March 26, 2018, in Islamabad, under the leadership of Yaxing Steel General Manager Mr. Liang Bin and Vice Chairman Mr. Zubir, and with the support and witness of KPK Industrial Park Chairman Mr. Saeed and the KPK government, Yaxing Steel formally signed the civil-construction contract with China First Metallurgical Group. The scope includes a steelmaking shop, continuous casting shop, oxygen plant, rolling shop, substations, and so on. Al-Haj Yaxing Steel will be Pakistan's largest steel production, forging, and sales company. The 500,000-tonne-per-year rebar project, designed as such, is the largest steel project in Pakistan, jointly invested by Hebei Xingang Group and the Al-Haj Group, with total planned capacity of 2 million tonnes. ^[15]

The second is the state-owned Pakistan Steel Mills. It was originally planned to be privatized and sold to a Chinese firm, but since the mill was historically built with Soviet aid, Russia wanted to take it over, and Pakistan has essentially decided to hand the project to Russia ^[16]. When this project is complete, Pakistan's annual steel capacity will rise by 3 million tonnes.

By around 2030, Pakistan's steel output is expected to reach about 8 million tonnes; by 2040, reaching 15 million tonnes should be no problem.

Cement

In 2024, Pakistan produced 37.6 million tonnes of cement, ranking 15th in the world ^[17], close to China's level in the early 1990s. Cement is one of Pakistan's faster-growing industries, with exports up substantially in 2025 ^[18]. Pakistan is in the early stage of a big infrastructure drive; the coming railway, highway, and dam projects, together with the housing boom from peasants moving into cities, will push cement output higher. Pakistan's cement industry will not have any serious shortfall.

Education

One of Pakistan's biggest problems for industrialization is its enormous number of illiterates: the literacy rate is 63 percent, the lowest in South Asia, far below India's 87 percent.

Regionally, the review places the Maldives at over 98% adult literacy, followed by Sri Lanka at 93%, India at 87% and Bangladesh at 79%. Nepal stands at 68% and Bhutan at 65%, while the South Asian average is 78% — 15 percentage points higher than Pakistan. [19]

Educational development in Pakistan is highly uneven: Punjab has the highest literacy rate, Sindh the next, while the two western provinces are far lower. But Punjab is the most populous province (nearly 130 million people — more than the entire population of Vietnam), and together with Sindh's nearly 50 million, and with Pakistan's high birth rate, by 2040 these two provinces will have more than 250 million people — the equivalent of three or four of China's largest provinces. So long as literacy in these two economically developed provinces improves, the manpower to receive industrial relocation is sufficient.

Literacy Rate in Pakistan
age 10 year and older (%)

Province	Male	Female	Total
Pakistan	73.4	51.9	62.8
Punjab	74.2	58.4	66.3
Sindh	72.9	49.7	61.8
KP	72.8	37.4	55.1
Balochistan	69.4	36.8	54.5

Source: Pakistan Economic Survey 2022-23, Finance Division, Islamabad

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Source: <https://propakistani.pk/2024/01/05/breakdown-of-literacy-rates-of-all-provinces/>

Pakistan's spending on education, however, is inadequate, and literacy improves slowly, hovering around 60 percent for many years. In recent years, however, the literacy rate of Pakistan's youth has been rising faster. As the figure below shows, youth literacy has already reached 77 percent, with the greatest gains among rural women.

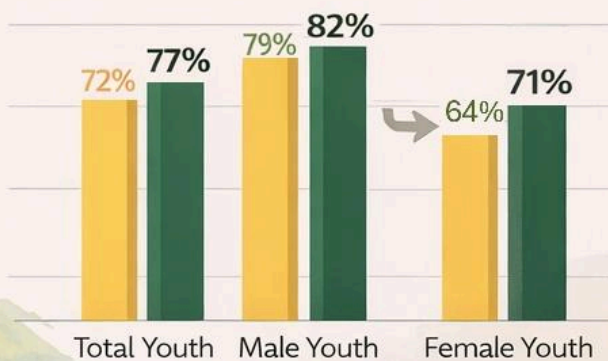


Gallup & Gilani Pakistan

Youth Literacy in Pakistan Shows Quiet Progress

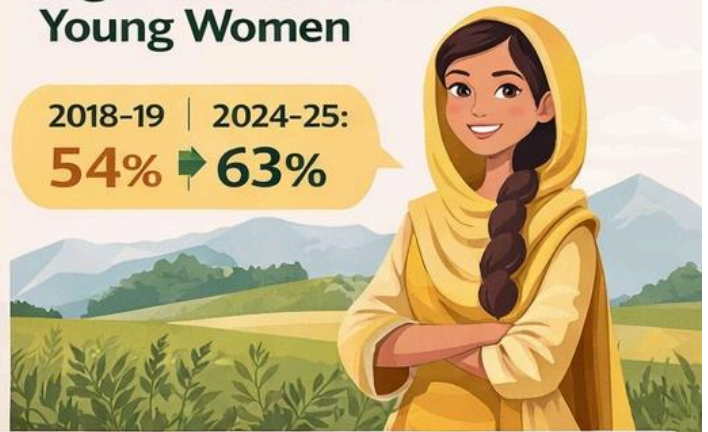
Youth Literacy Rate Reaches 77% — Rural Young Women Lead 9-Point Gain between 2018-19 to 2024-25

Youth Literacy Rate, Ages 15-24



Big Gains for Rural Young Women

2018-19 | 2024-25:
54% → 63%



- ✓ **Rural female youth** literacy increased from 54% in 2018-19 to 63% in 2024-25, a 9-percentage-point gain.
- ✓ **Rural young women** are driving a disproportionate share of national progress in youth literacy.

Gender Gap Narrowing



79% → 82%

79% 82%

- Male youth literacy rose from 79% to 82%



64% → 71%

64% 71%

- Female youth literacy grew from 64% to 71%

Data covers ages 15-24 | Surveys conducted 2018-19 vs 2024-25

Source: Gallup & Gilani Pakistan (PBS HIES/PSLM Data)

www.gallup.com.pk • www.gallup-international.com • www.gilanifoundation.com

Data covers ages 15-24 | Surveys conducted 2018-19 vs 2024-25 [9th source]

Source: Gallup & Gilani Pakistan (PBS HIES/PSLM Data)

www.gallup.com.pk. www.gallup-international.com, www.gilanifound.com

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Source: <https://gallup.com.pk/post/39593>

Primary school enrollment is also rising rapidly ^[20], and secondary enrollment is approaching 50 percent ^[21]:

School enrollment, primary (% gross) - Pakistan

Data API, UN Educational, Scientific and Cultural Organization (UNESCO), uri: databrowser.uis.unesco.org/resources, note: The data are obtained through the UIS API. Detailed documentation is available at: api.uis.unesco.org/api/public/documentation, publisher: UNESCO Institute for Statistics (UIS), type: Bulk file (csv), date accessed: 2025-09-22, date published: 2025-09

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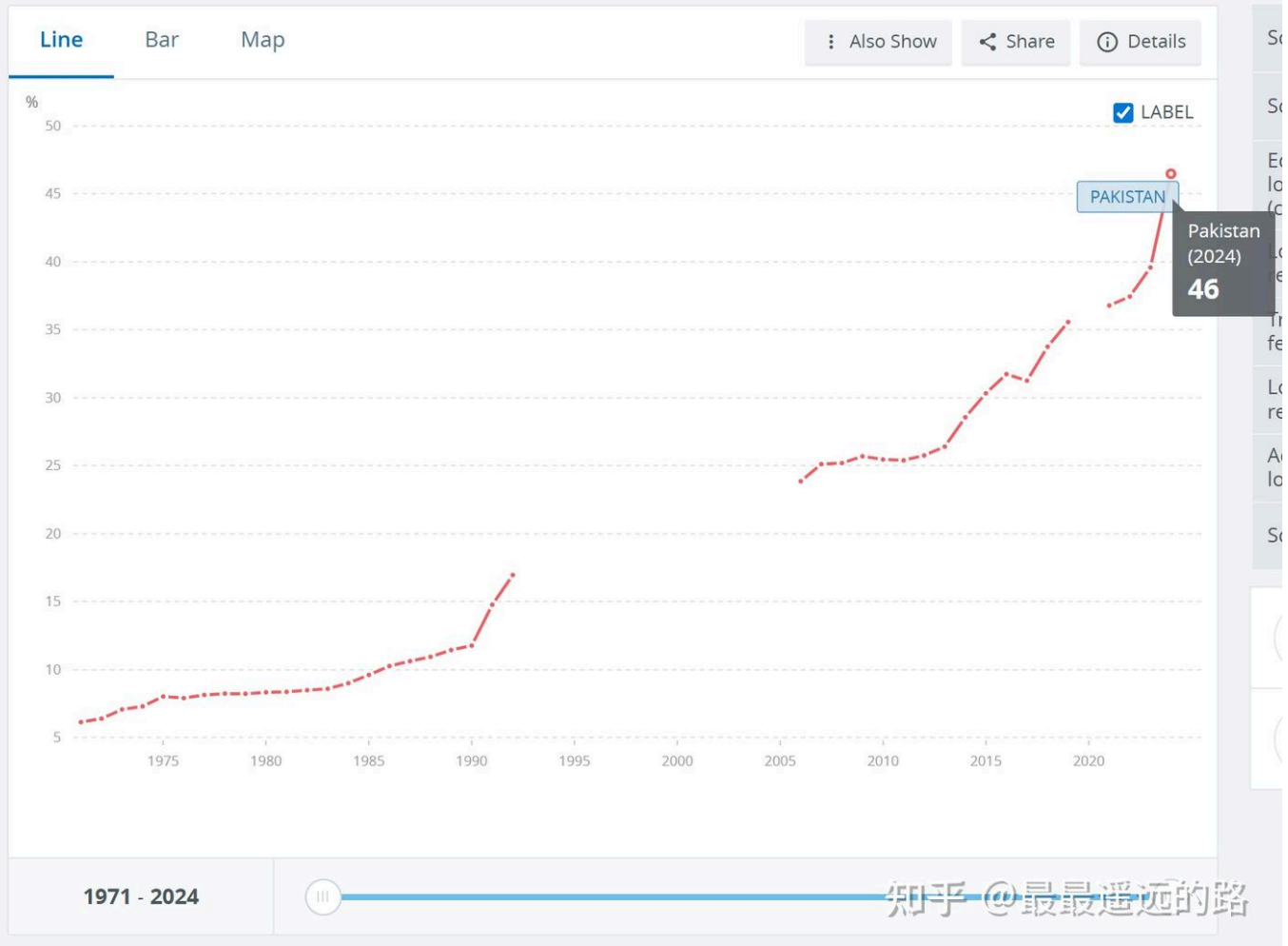


Primary school enrollment

School enrollment, secondary, female (% gross) - Pakistan

Data API, UN Educational, Scientific and Cultural Organization (UNESCO), uri: databrowser.uis.unesco.org/resources, note: The data are obtained through the UIS API. Detailed documentation is available at: api.uis.unesco.org/api/public/documentation, publisher: UNESCO Institute for Statistics (UIS), type: Bulk file (csv), date accessed: 2025-09-22, date published: 2025-09

License : CC BY-4.0 [i](#)



Secondary school enrollment

Though the road is winding, Pakistan should have little trouble raising its educational level to India's 2010 standard (secondary enrollment of 65 percent).

The Security Problem

Pakistan's other major problem is security. The causes of chronic security problems are the same in every country: basically, unbalanced economic development. As the figure below shows, the western provinces have long lagged behind the eastern ones; their per-capita GDP is roughly only half that of the eastern provinces. Both therefore have militant activity. Although much of the CPEC investment lands in these two provinces, these investments are megaprojects of infrastructure and energy; they do little to raise local living standards, and thus do little to solve the security problem.

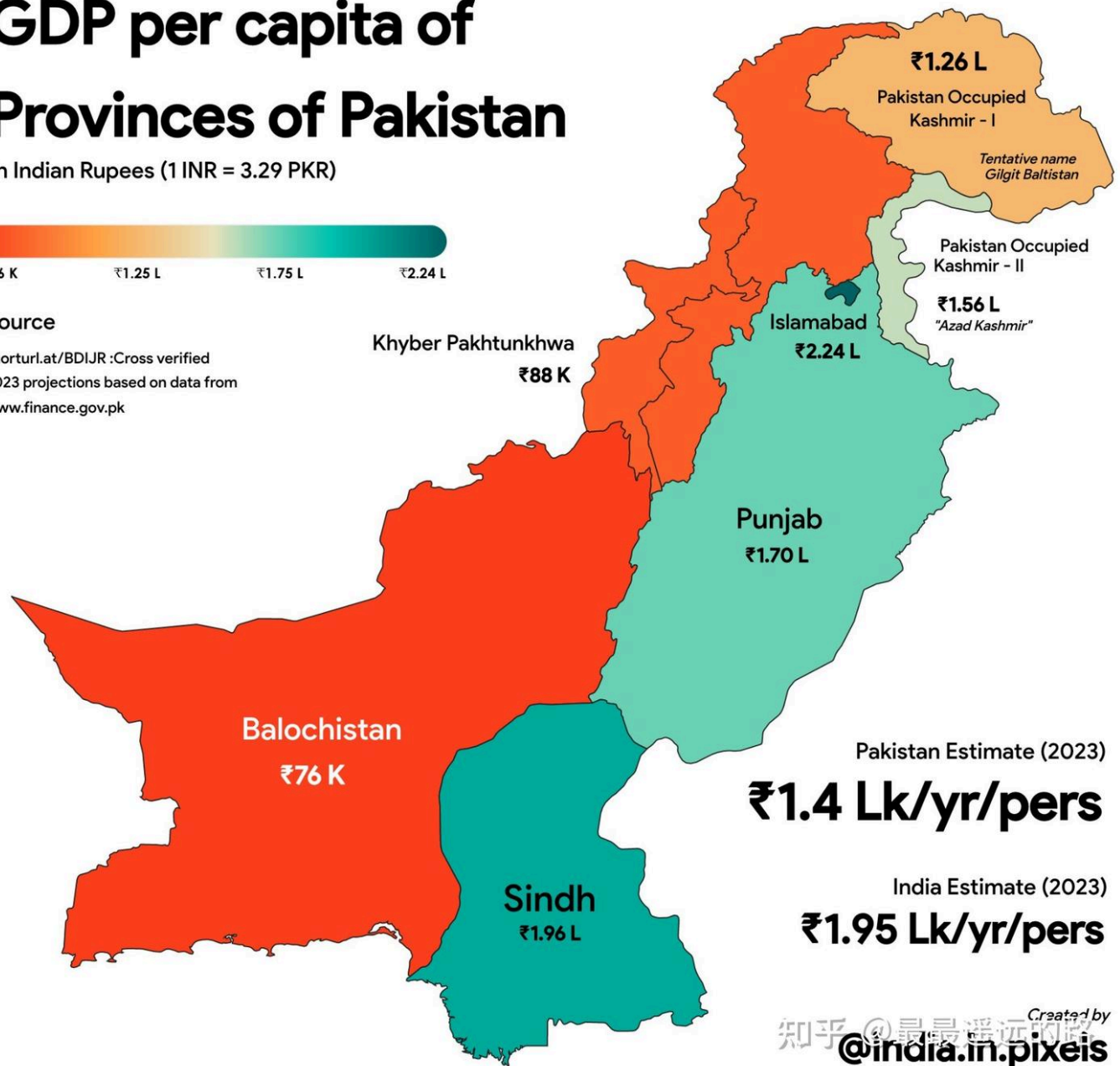
GDP per capita of Provinces of Pakistan

In Indian Rupees (1 INR = 3.29 PKR)



Source

shorturl.at/BDIJR :Cross verified
2023 projections based on data from
www.finance.gov.pk



Security problems affect manufacturing investment, but they are not the primary consideration (India, after all, has had security problems forever). Manufacturing is concentrated in industrial parks, where the likelihood of attack is far lower than for infrastructure projects. The security problem in these regions will probably only be fundamentally resolved once large-scale industrial relocation begins and local youths can go to the big cities to work and solve their livelihood problems.

Summary

Pakistan is now in a critical period of infrastructure and basic-industry development. Judging by current overall progress, by 2040 Pakistan will have built a modern road and rail network; its steel, refining, and other capacities will meet the basic requirements of large-scale industrialization; its per-capita indicators will reach China's level of 1990–2000; and it will possess the conditions to receive Southeast Asia's mid- and low-end industries on a large scale. Compared with East Africa, Pakistan has clear advantages in location, industrial base, and infrastructure. From the standpoint of geopolitics, China also wants Chinese multinational enterprises to land in Pakistan.

In addition, Pakistan has formed or will form alliances with Saudi Arabia and Turkey. The economies of Turkey and Saudi Arabia are far more developed than Pakistan's, and a considerable share of their surplus capital will flow into Pakistan as well. Pakistan's risk of a foreign-exchange crisis is therefore smaller than East Africa's.

On the whole, then, when the next wave of industrial relocation arrives in the 2040s, Pakistan has the conditions to divert a share of industry away from India, while standing one step ahead of East Africa — fully able to catch this opportunity. From 2040 to 2060, amid a tide of large-scale foreign investment, Pakistan will complete its urbanization and industrialization, and nurture some native big enterprises of its own.

Notes

[1] The Current State of Territorial Development of ASEAN Countries and Strategic Types for Balanced Development
中文原文: The Current State of Territorial Development of ASEAN Countries and Strategic Types for Balanced Development
<https://www.mdpi.com/2071-1050/14/19/12707>

[2] (source not preserved)
<https://cpec.gov.pk/map-single/2>

[3] (source not preserved)
<https://www.geo-ref.net/pdf/pakistan.pdf>

[4] He described ML-1 as the central rail corridor, saying it carries about 80% of passenger traffic and 90% of freight nationwide, and argued that ageing infrastructure requires urgent upgrades.
中文原文: He described ML-1 as the central rail corridor, saying it carries about 80% of passenger traffic and 90% of freight nationwide, and argued that ageing infrastructure requires urgent upgrades.
<https://www.gwadarpro.pk/2002326227285454850/adb-inks-agreement-for-cpec-ml-1>

[5] ISLAMABAD, Nov 25 (APP): Pakistan Railways is expecting to transport over 20 percent of the country's freight business after the completion of Main Line-I (ML-I) under China Pakistan Economic Corridor (CPEC).

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<https://www.gwadarpro.pk/1464203571537309698/railways-to-transport-over-20-percent-of-freight-business-after-completion-of-ml-1>

[6] The work on the Main Line-1 (ML-1) railway project is expected to begin in July 2026 from the Karachi Port, said Minister of Railways Hanif

中文原文： The work on the Main Line-1 (ML-1) railway project is expected to begin in July 2026 from the Karachi Port, said Minister of Railways Hanif

<https://www.dawn.com/news/1966731>

[7] ADB approves \$2 billion loan; major progress on Pakistan's ML-1 railway Karachi-Rohri section

中文原文： 亚行批准20亿美元贷款，巴基斯坦ML-1铁路卡拉奇—罗赫里段获重大进展

https://www.sohu.com/a/974235936_121080087

[8] Railways, NLC to upgrade ML-2 as dedicated freight corridor

中文原文： Railways, NLC to upgrade ML-2 as dedicated freight corridor

<https://www.dawn.com/news/1972786>

[9] 《 Pakistan, ADB inch toward \$2 billion financing agreement for railway upgrade venture 》 “Additionally, rehabilitation of the 1,000-kilometer ML-3 is likely to commence in April,” Baloch said. ML-3 corridor stretches from Rohri to Taftan in Pakistan's southwestern Balochistan province via the Sibbi and Quetta cities. The track's rehabilitation would enhance Pakistan's regional freight connec

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<https://www.arabnews.com/node/2633535/pakistan>

[10] Feasibility study of Pakistan's Gwadar railway completed, connecting Gwadar port with the mineral areas of Balochistan

中文原文： 巴基斯坦瓜达尔铁路项目可行性研究完成，连接瓜达尔港与俾路支省矿区

https://news.sohu.com/a/979169675_121080087

[11] (source not preserved)

<https://aenert.com/cn/%E5%90%84%E5%9B%BD%E8%83%BD%E6%BA%90%E4%BF%A1%E6%81%AF/%E4%BA%9A%E6%B4%B2/%E5%B7%B4%E5%9F%BA%E6%96%AF%E5%9D%A6%E8%83%BD%E6%BA%90%E5%B7%A5%E4%B8%9A/>

[12] (source not preserved)

https://en.wikipedia.org/wiki/Petroleum_industry_in_Pakistan

[13] Total investment \$10 billion! China, Saudi Arabia and Pakistan may jointly build a 15-million-tonne/year refining-petrochemical integrated project

中文原文： 总投资100亿美元！中沙巴三方或将合建1500万吨/年炼化一体化项目

<https://mp.weixin.qq.com/s/yHraDRBqCaie9oIpJjendw>

[14] (source not preserved)

<https://worldsteel.org/data/world-steel-in-figures/world-steel-in-figures-2025/>

[15] Heavy news! Chinese company to build a steel plant in Pakistan with planned total capacity of 2 million tonnes!

中文原文：重磅！中国公司赴巴基斯坦建钢厂，总规划产能200万吨！

<http://www.ferro-alloys.cn/News/Details/252626>

[16] Pakistan, Russia sign second protocol to revive Pakistan Steel Mills

中文原文：Pakistan, Russia sign second protocol to revive Pakistan Steel Mills

<https://profit.pakistantoday.com.pk/2025/12/16/pakistan-russia-sign-second-protocol-to-revive-pakistan-steel-mills/>

[17] (source not preserved)

<https://www.gotohui.com/ndata/topic-4687>

[18] Pakistan's cement exports grew markedly in the first seven months of FY2024, with volatile trends in January 2025

中文原文：巴基斯坦2024财年前七个月水泥出口增长显著，2025年1月呈现波动趋势

<https://www.wedoany.com/shortnews/23149.html>

[19] Pakistan ranks lowest in South Asia on literacy despite slow gains, FAFEN says

中文原文：Pakistan ranks lowest in South Asia on literacy despite slow gains, FAFEN says

<https://tribune.com.pk/story/2590372/pakistan-ranks-lowest-in-south-asia-on-literacy-despite-slow-gains-fafen-says>

[20] (source not preserved)

<https://data.worldbank.org/indicator/SE.PRM.ENRR?locations=PK>

[21] (source not preserved)

<https://data.worldbank.org/indicator/SE.SEC.ENRR.FE?locations=PK>

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